WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

LIBYA

Africa

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Tripoli	Capital and seat of the internationally recognised Government of National Unity, the Central Bank of Libya and the National Oil Corporation	Government contracting, banking, services, construction
Sirte Basin and the oil crescent (Es Sider, Ras Lanuf, Brega, Zueitina)	Libya's core hydrocarbon province and main export terminals; a focus of the 2025 licensing round, including Chevron's return through Contract Area 106	Upstream oil and gas, oilfield services, terminals
Murzuq and Ghadames basins (south-west)	Home to El Sharara, operated with Repsol, TotalEnergies, OMV and Equinor, which reached its highest daily output since 2014 in July 2026	Upstream oil, field services, marginal-field development
Offshore Mediterranean	Largely unexplored deepwater acreage; Eni with QatarEnergy and Repsol with TPAO and MOL won offshore blocks in 2026	Offshore exploration, gas, marine services
Misrata Free Zone	Libya's main free zone and port, subject of a $2.7 billion public-private partnership signed in January 2026 to develop a Mediterranean gateway and transhipment hub	Port logistics, transhipment, light manufacturing, trade
Benghazi and the east	Second city, seat of the House of Representatives and centre of a large reconstruction programme in the east, including flood-hit Derna	Construction, building materials, infrastructure, housing

INVESTOR ENTRY ROUTES

- Sanctions compliance is the starting point: the UN arms embargo and asset freeze under Security Council resolution 1970 (2011), renewed and refined by resolution 2819 in April 2026, apply to all investors, alongside UK, EU and US listings
- National Oil Corporation (NOC) licensing: the 2025 bid round, Libya's first in nearly two decades, offered 22 onshore and offshore blocks and led to production-sharing agreements in 2026, with bidding for more than 40 marginal fields in preparation
- Privatisation and Investment Board, which administers Law No. 9 of 2010 on Promoting Investment, as the formal registration and incentive route for non-oil foreign investment

- Misrata Free Zone, Libya's principal free zone and port, now the subject of a $2.7 billion public-private partnership to develop a Mediterranean transhipment hub
- Central Bank of Libya currency regime: the dinar is set officially at 6.37 per dollar after a 14.7% adjustment in January 2026, with the IMF recommending further steps to unify official and parallel rates
- Commercial Arbitration Law No. 10 of 2023, providing a modern statutory framework for resolving commercial disputes by arbitration
- Public and reconstruction contracting with national institutions in Tripoli and with reconstruction programmes in the east, subject to confirming the contracting authority and its legal mandate

MARKET-ENTRY OBSERVATION

Libya in October 2026 is Africa's largest holder of proven oil reserves, at about 48.4 billion barrels, and is rebuilding its energy sector at pace. Crude and condensate output reached 1.48 million barrels a day in June 2026, the highest since 2013, and the NOC is targeting 2 million barrels a day by 2030. Oil revenue rose by more than 15% to $22 billion in 2025, and the IMF projected double-digit growth of 16.1% for 2025 as production recovered from a 2024 slowdown. International investor interest has returned: the NOC's 2025 licensing round, the first in nearly two decades, brought Chevron back to Libya and led to production-sharing agreements with Eni, QatarEnergy, Repsol, TPAO and MOL in 2026. In April 2026 the rival legislatures agreed Libya's first unified national budget since 2013, and gross official reserves of $82.9 billion at end-2024, equal to about 29.6 months of imports, provide a substantial buffer.

Libya's main structural challenge is institutional: the country has had rival administrations in the east and west since 2014, the UN arms embargo and asset freeze remain in force, and the dinar has been adjusted twice since April 2025 as divided spending pressured the currency. The direction of travel is encouraging. National institutions such as the NOC and the Central Bank of Libya operate across the country, the 2026 unified budget is the clearest sign of fiscal co-operation in over a decade, and the UN Security Council has allowed the Libyan Investment Authority limited, supervised reinvestment of frozen funds. For investors, the practical approach is to work through these national institutions, take sanctions and contracting-authority advice at the outset, and position for an energy-led recovery that is already under way.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
UN arms embargo and asset freeze	The UN arms embargo and asset freeze imposed in 2011 remain in force and were renewed in April 2026; the Libyan Investment Authority's assets stay frozen, with only limited reinvestment approved by the UN 1970 Committee	Engage sanctions counsel, screen all counterparties against UN, UK, EU and US lists, avoid any defence or security-related supply, and route LIA-related matters through the 1970 Committee process
Divided government	Rival administrations have operated in the east and west since 2014, so the authority to sign contracts and issue permits can vary by region	Confirm the legal mandate of every contracting authority, prefer national institutions such as the NOC and Central Bank, and note the progress shown by the April 2026 unified budget
Illicit petroleum export controls	UN measures authorise inspection of designated vessels suspected of illicit Libyan petroleum exports, extended to August 2027	Buy and ship hydrocarbons only through the NOC and its authorised channels, with documented chain of custody
Exchange-rate adjustment	The dinar was devalued by 13.3% in April 2025 and 14.7% in January 2026, and parallel-market rates have exceeded 9 per dollar	Denominate contracts in dollars where possible, hedge local-currency exposure, and track the Central Bank's moves toward a unified rate
Dependence on hydrocarbons	Oil accounts for about 60% of GDP, 90% of budget revenue and 95% of export earnings, and the fiscal deficit reached about 25% of GDP in 2024	Rising output, the licensing round and a unified budget support revenue, while diversification creates openings in logistics, construction and services
Production continuity	Output has been interrupted in past years, contributing to a hydrocarbon contraction	Build short-disruption scenarios into planning and partner with experienced

Issue	Potential Impact	Possible Mitigation
	in 2024, although production has since reached its highest level since 2013	operators already active in Libya
Banking and correspondent relationships	The IMF has urged Libya to strengthen its anti-money-laundering framework to support correspondent banking	Use established international banks for payments, conduct enhanced due diligence, and follow the Central Bank's ongoing formalisation and digital-payments reforms

INVESTOR RISK NOTE

Libya is a legally restricted market, and investors should treat sanctions compliance as the starting point of any engagement. The UN arms embargo and asset freeze imposed under resolution 1970 in 2011 remain in force, were renewed with refinements in April 2026, and keep the Libyan Investment Authority's assets frozen; UN measures against illicit petroleum exports run to August 2027. Libya also has rival administrations in the east and west, so the authority of each counterparty must be confirmed. Within these boundaries, lawful commercial activity is substantial and growing: oil output is at a 13-year high, the NOC has signed its first production-sharing agreements in nearly two decades with major international companies, and the April 2026 unified budget shows that the rival institutions can co-operate on core economic matters. Investors who take specialist legal and sanctions advice, work through national institutions and maintain contingency plans for local disruptions can participate in the recovery now and are well placed for further normalisation.

MARKET ACCESS

Libya's Mediterranean coastline places it close to southern European markets, including Italy, which receives Libyan gas by pipeline, and its economy is overwhelmingly export-oriented, with hydrocarbons providing about 95% of export earnings through terminals across the oil crescent and the western coast. The country is not yet a WTO member, although membership talks have been opened, so trade terms are set largely through bilateral relationships with its main energy buyers. Expansion of the Misrata Free Zone port as a transhipment hub, rising oil and gas output, new offshore exploration and planned bidding for more than 40 marginal fields are strengthening Libya's role as an energy supplier across the Mediterranean and as a logistics gateway linking Europe with North Africa and the Sahel.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister, Government of National Unity (Abdul Hamid Dbeibah)	Internationally recognised government in Tripoli; oversees national policy, public contracting and the energy-sector licensing launch	Primary reference point for national economic direction and government contracting
Privatisation and Investment Board	Administers Law No. 9 of 2010 on Promoting Investment and registers foreign investment projects	Standard first contact for non-oil market entry and incentive guidance
Central Bank of Libya (Governor Naji Issa)	Monetary authority managing the dinar and foreign reserves; brokered the 2026 unified budget	Key counterpart on currency, payments and banking-sector matters
National Oil Corporation (Chairman Masoud Suleiman)	State oil company operating nationwide; runs licensing rounds and production-sharing agreements	Essential partner for any energy-sector engagement
House of Representatives (Benghazi) and High Council of State (Tripoli)	Rival legislative bodies whose agreement is needed for budgets and major laws; they jointly approved the April 2026 budget	Relevant for understanding legislative and political direction
Eastern authorities and Khalifa Haftar's forces	Control much of the east and south, including major export terminals and fields, and oversee eastern reconstruction	Relevant for operational planning in the east, subject to sanctions screening and legal advice

Actor	Why It Matters	Waverley Engagement Angle
Libyan Investment Authority	Sovereign wealth fund whose assets are frozen under UN sanctions, with limited reinvestment approved by the 1970 Committee	Relevant to any co-investment discussion; all engagement requires sanctions counsel

CURRENT INTERNATIONAL BUSINESS CHANNELS

International energy companies already active in Libya, including Eni, Repsol, TotalEnergies, OMV, Equinor and, since 2026, Chevron, are the most valuable source of practical intelligence on operating conditions and partner selection. The NOC's licensing programme and the Misrata Free Zone Authority provide structured routes to engage on energy and logistics opportunities. The UN Support Mission in Libya and the Security Council's 1970 Sanctions Committee are the reference points for the political process and sanctions framework, while the IMF and the World Bank maintain active engagement on fiscal, currency and private-sector reform. National embassies and trade promotion bodies in Tripoli can advise on bilateral support and current security arrangements.

INVESTOR PROFILE BEST SUITED

Libya best suits experienced investors with a high tolerance for complexity and strong compliance capabilities: international oil and gas companies and oilfield-service providers participating in licensing rounds, marginal-field bidding and production growth; port, logistics and infrastructure investors drawn by the Misrata Free Zone expansion; and construction and building-materials firms positioned for reconstruction in both the west and the east. All investors should engage specialist legal and sanctions counsel, contract through clearly mandated national institutions, and treat Libya as a market where well-prepared early movers can build positions ahead of further normalisation.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission sanctions and legal advice before engaging
Confirm how the UN arms embargo and asset freeze, and UK, EU and US listings, apply to the proposed activity, counterparties and payment routes.

STEP 2: Confirm the mandate of every counterparty
Verify which authority is legally empowered to contract or permit the activity, prioritising national institutions such as the NOC and the Central Bank.

STEP 3: Engage the NOC on upstream and marginal-field opportunities
Follow the production-sharing agreements signed in 2026 and prepare for bidding on more than 40 marginal fields.

STEP 4: Assess logistics and reconstruction entry points
Review the Misrata Free Zone partnership and reconstruction programmes, partnering with established operators and contractors.

STEP 5: Plan for currency and continuity risks
Use dollar-denominated contracts and hedging, and build short-disruption scenarios into project plans.